

D. F. YOUNG, INC.,	Complainant,
v.	
NYK LINE (NORTH AMERICA) INC.,	Respondent.

**RESPONDENT'S REPLY TO THE COMPLAINANT'S EXCEPTIONS TO JUDGE WIRTH'S
INITIAL DECISION [46 C.F.R. 227(a)(2)]**

Respectfully submitted,

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46 C.F.R. 227(a)(2)

PRELIMINARY STATEMENT

1. DFY misstates NYK's defense.

- (a) NYK's defense has never been that an ocean carrier can enter into a confidential service contract with a shipper that (secretly or otherwise) invalidates an applicable and effective forwarder compensation tariff.
- (b) NYK's defense is that its tariff rule on forwarder compensation (Rule 9) applies only to tariff rates, and has no application to service contract rates.

Objection and Motion to Strike No.1

**DFY makes arguments for the first time on review
that it did not raise before Judge Wirth**

2. DFY argues that NYK's Tariff NYKS156 and its forwarder compensation Rule 9 apply by agreement of the Parties in that:
- (a) The Power of Attorney required Tariff NYKS156's sample bill of lading terms to be incorporated into each NYK bill of lading used in connection with the Ford Service Contracts; and

(b) Paragraph 4 of the bill of lading terms incorporates the applicable tariff which DFY says includes Rule 9.

3. However, DFY did not make this argument to Judge Wirth and is raising it for the first time here on review. That is improper. See, *Crocus Investments, LLC v. Marine Transp. Logistics*, Docket No. 15-04, p. 10 (03/06/2017) (Parties cannot withhold known facts helpful to their cause” and later rely on them as justification for reversing an unfavorable outcome).
4. NYK objects and moves to strike. The arguments in this Reply are without prejudice to the objection and motion.

Objection and Motion to Strike No.2

**Except for General Rule 9, DFY did not include
The bill of lading terms or any other part of
Tariff NYKS156 in the record before Judge Wirth.**

5. The DFY argument described in Objection No. 1 above relies for its support on NYK’s Tariff NYKS156 including its sample bill of lading terms. However, apart from the Tariff’s forwarder compensation rule (Rule 9), the Tariff (including its bill of lading terms) are not part of the Record below before Judge Wirth.
6. The Commission’s review of Judge Wirth’s Initial Decision is based on the record that existed at the time of the summary decision. See, *Maher Terminals, LLC v. The Port Auth.*, 2014 WL 5316353, *3; *Green Master Int’l Freight Services Ltd.*, 2003 WL 1016920, *21. Therefore, DFY’s reliance on any part of the Tariff other than Rule 9 is improper.

7. Accompanying this Reply are papers filed by NYK in opposition to adding Tariff NYKS156 and the sample bill of lading terms to the record. NYK incorporates those opposition papers by reference into this Reply.
8. NYK objects to any of DFY's Exceptions based on the bill of lading terms or any part of Tariff NYKS156 apart from Rule 9 and moves that they be stricken. The arguments in this Reply are without prejudice to the objection and motion.

Objection and Motion to Strike No. 3

Certain of DFY's Exceptions are improperly made and supported

9. DFY's Exceptions cite to the following testimony not part of the record below.
 - (a) Non-party witness, Sharon Parcha, at: *CX "O,"* 32:21 – 33:1-12 • 36:18-20.
 - (b) Non-party witness, Linda Ferguson, at *CX "G,"* 17:9-22 • 33:15-23 • 70; 63:1-25 • 64:1-8 • 76 • 77 • 78.
 - (c) NYK's witness, John Grbic, at *CX "H,"* 71:17-25 • 72:1-16 • 72:13-16 • 109-2-9 • 108-14-17 • 112:5-15 • 120:1-10 • 120:11-25 • 121:1-23 • 127 • 128 • 128-2-15 • 134:14-25 • 135:1-8 • 136:7-13 • 141:17-22 • 142:3-13 • 157:1-23 • 158:4-9 • 232 • 231:23-25. And,
 - (d) DFY's witness, Darlene Schwark, at *CX "J,"* 15-16.
- See, ADDENDUM (Showing page location of foregoing cites).*

10. DFY also says that its compliance with Reg. 515.42(c) is admitted, but it gives no supporting citation to the record. NYK opposed DFY's summary decision motion precisely because it does dispute compliance.
11. NYK objects and moves that the Commission strike all testimony not before Judge Wirth, and disregard all fact contentions not supported by a citation to the record. The arguments in this Reply are without prejudice to that objection and motion.

**Reg. 515.42(b, d) raises the
potentially dispositive issue**

12. This case presents two questions:

Question No. 1: Whether NYK's Tariff Rule 9 "specifically provides for" the freight forwarder compensation DFY claims. See, Reg. 515.42(b, d). It is a simple issue of law.

Question No. 2: Whether DFY performed the services required by Reg. 515.42(c). This question is fact intensive. There were thousands of shipments over 18 months and the record below is over 1,000 pages. DFY proposed 86 separate findings of fact. *Initial Decision, p. 14. Sect. B.*

13. (a) To avoid dismissal, DFY must show a material issue of fact as to each Question.
(b) To summarily prevail, DFY must show the absence of any such fact issues.
14. If DFY cannot raise an issue of fact as to Rule 9's interpretation, then that is outcome dispositive and the question of DFY's services becomes moot.

15. If DFY prevails on the meaning of Rule 9, or raises an issue of fact, a full review of its services is still not called for. Judge Wirth did not apply an outdated standard or abuse her discretion in deciding that DFY's case, if it survives, is best decided at trial rather than summarily on an incomplete record. *Initial Decision*, p.15.
16. Should the Commission nevertheless pursue a full factual review of Question No. 2:
- (a) DFY must, at least, raise issues of fact that it performed one of the functions in Reg. 515.42(c)(1), and both of the functions in 515.42(c)(2).
 - (b) If it fails to raise an issue of fact as to even one of those three functions, then that, too, is outcome dispositive and NYK, as the non-moving party, is entitled to summary judgment. See, F.R.Civ.P. 56(f)(1).

Significance of this Case

17. The Initial Decision stands to have little if any impact on the industry.
- (a) Judge Wirth expressed concern about secret agreements such as confidential service contracts impacting the rights of unknowing third parties. *Initial Decision*, p. 27. However:
 - (1) She added that this is not such a case. *Id.* DFY knew it was dealing with contract rather than tariff shipments, and DFY was in no way led down the garden path. NYK told DFY from the outset that it would not pay forwarder compensation; and it did not. *Id.*; see also, *POINT 6, below*.
 - (2) Judge Wirth did not create any industry rule. She simply construed a specific tariff rule and held DFY to the consequences of a "calculated risk"

it freely took. *Id.* Other forwarders are free to decline such a risk. See, *Am. Union Transp., Inc. v. U.S.*, 257 F.2d 607, 613 (D.C.Cir.) (Where carriers did not agree to pay brokerage, and forwarder was on notice of that, forwarder proceeded at his own risk) cert. den. 358 U.S. 828 (1958).

- (b) Judge Wirth also noted that Congress has left open the question of whether service contracts can be used to negotiate a level of freight forwarder compensation other than that provided by tariff. *Id. at p. 12.* But again, she correctly added that this case does not raise that issue, either. *Id.* DFY is claiming the Rule 9 tariff rate of compensation, not some different rate provided for in the Ford Service Contracts.
- (c) Note also that this is also not a case in which, absent compensation from NYK, DFY worked for nothing. DFY's shipper/customer (Ford Motor Co.) paid DFY Substantial fees for the freight forwarding services it performed. *DFY's Exh. "L,"* p. DFY5169.

Standard Of Review

- 18.** The Commission reviews initial decisions de novo. Rule 227(a)(6).

ARGUMENT

POINT 1

JUDGE WIRTH CORRECTLY DETERMINED THAT THE MEANING OF RULE 9 URGED BY NYK WAS UNAMBIGUOUS AND CORRECT

19. A document is not ambiguous simply because:

- (a) The drafting could have been clearer; or,
- (b) The parties disagree about what it means.

Garmany v. Mission Ins. Co., 785 F.2d 941, 945-46 (11th Cir.1986); *Potomac Elec.*

Power Co. v. Mirant Corp., 251 F.Supp.2d 144, 148 (D.D.C. 2003).

20. Whether a writing is clear or ambiguous is initially a question of law for the court.

Parker v. John Moriarty & Assocs., 189 F.Supp.3d 38, 43 (D.D.C. 2016).

21. NYK believes that Judge Wirth's interpretation of Rule 9 is correct as a matter of law.

Given DFY's scattershot arguments, it is best to layout the basis for NYK's view.

22. Rule 9 begins:

*The compensation which is paid under this rule shall be on the **gross freight**. . . .*

23. Words and phrases are not viewed in isolation. They are read in the context of the entire document. E.g., *Nicolas M. Salgo Assocs. v. Cont'l Illinois Properties*, 532 F.Supp. 279, 281 (D.D.C. 1981); *Gonzalez-Vera v. Townley*, 595 F.3d 379, 383 (D.C. Cir.) (Cherry picking words and phrases not allowed) cert. den. 562 U.S. 896 (2010). So,

the issue is not what “gross freight” might mean standing by itself, but what it means in the context of Rule 9. [1]

24. Rule 9 adds qualifying language:

... *The gross freight **includes** the tariff rate* ...

25. Rule 9 must be interpreted in light of its purpose. *Greene v. Howard Univ.*, 412 F.2d 1128, 1135 (D.C. Cir. 1969) (Contracts to be read by reference norms of conduct and expectations founded upon them); *Katopothis v. Windsor-Mount Joy Mut. Ins. Co.*, 211 F.Supp.3d 1, 16 (D.D.C. 2016) (Interpretation cannot counteract clear purpose of contract). The purpose of Rule 9 is to comply with the law that a forwarder’s compensation tariff must state the “level of compensation” to be paid and the compensation must be “that specifically provided for.” 46 U.S.C. 40501(b)(3); Regs. 520.4(a)(3) and Reg. 515.42(b, d) (Emphasis added).
26. Compensation is typically calculated on rates and charges. Cf., 46 U.S.C. 40901(d)(2). So when Rule 9 “includes” the “tariff rate” and specific charges, it is “specifically providing for” the “level of compensation” by showing precisely which rates and charges are included in the calculation.
27. Had NYK intended to pay compensation on service contract rates, it would have said so—or at least referred to “gross freight” without mention tariff rates. The only reason to expressly include the “tariff rate” was to “specifically provide for” the “level

1 None of the cases cited in fn. 8 of DFY’s exceptions (pp. 24-25) deals with service contracts.

of compensation” to be paid forwarders—i.e., gross freight as a tariff rate.

Otherwise, there was no reason to mention it.

28. It is true that the word “includes” can be used broadly (to illustrate) rather than narrowly (to limit). Which one it is depends, again, on context. We can think of three common sense guidelines to provide that context.
29. First, if there is no catchall phrase such as “without limitation,” then that favors (but does not necessarily require) interpreting “includes” to limit.
30. Second, where only two possible alternatives could fall within the scope of “includes,” the explicit mention of one strongly implies the exclusion of the other. For example, no contest rule would say:

As used herein, “Eligible Contestant” includes single males.

if single females are also meant to be eligible, and the contest is gender neutral.

31. Third, the greater the dissimilarities between the items expressly named and the one that is not, the more likely the latter is meant to be excluded. Someone saying:

I am a die-hard sports fan. My passions include The New York Yankees.

would not be understood to say that he is also an avid Boston Red Sox fan; just as one who “includes” the Hatfields in a list of America’s finest families would not be thought to feel the same way about the McCoys.

32. Applying those guidelines to Rule 9, the use of “includes” cannot reasonably be interpreted as other than limiting and exclusive.

- (a) Rule 9 has no catchall phrase such as “without limitation” to clearly signal an expansive meaning.
- (b) Far from being open ended or numerous, the universe of possible freight rates that might comprise “gross freight” is only two:
- (1) The negotiated (service contract) rates, and
 - (2) The non-negotiated (tariff) rates.
- (c) The terms “service contract rate” and “tariff rate” are themselves specific and not general. Each means only one thing. The two are different; and one is not an example of the other. Specifically:
- (1) Service contracts and tariffs are governed by separate sections of OSRA. Compare, 46 U.S.C. 40501 (Tariffs) and 40502 (Service Contracts).
 - Section 40501 and 46 C.F.R. Part 520 do not reference service contracts.
 - Section 40502 and Part 530 do not reference tariffs.
 - (2) Service contract rates are negotiated. 46 U.S.C. 40102(20)(B). Tariff rates are not.
 - (3) Service contract rates are filed confidentially; tariff rates must be published. See: 46 U.S.C. 40502(b)(1) and 46 U.S.C. 40501(a)(1), (c).

(4) Tariff rates are available to all tariff shippers uniformly; service contract rates are available only to the contracting shipper. See, 46 U.S.C. 41104(1), (2)(A) and (4).

(5) Service contract rates are not required to be included in the carrier's general tariff. See, *Chem. Mfrs. Ass'n v. F.M.C.*, 900 F.2d 311, 315 (D.C. Cir. 1990).

33. There are other factors that call for a narrow interpretation of “includes.”

(a) NYK has a Service Contract Essential Terms Tariff rule which says that forwarder compensation shall be as provided for in the service contract. See, *ADDENDUM at NYK's reply on its Motion for a Summary Decision (filed 2/7/2017)*. There would be no reason for NYK to include a contradictory rule in the general tariff.

(b) By law, a forwarder's compensation tariff must state the “level of compensation” to be paid. 46 U.S.C. 40501(b)(3) and 46 C.F.R. 520.4(a)(3)]. And a forwarder may not “. . . accept compensation from a common carrier which is different from that specifically provided for in the carrier's effective tariff(s).” Reg. 515.42(d) (Emphasis added). We read the underlined wording to mean that it is not enough to say that compensation will be paid, the tariff must specifically set out how the compensation will be calculated—which is why Rule 9 specified the “tariff rate” as the rate element.

34. Therefore, given all of the foregoing that:

- (a) Rule 9 has no catch-all phrase, such as “without limitation;”
- (b) The category of “gross freight” has only two possible rate components (service contract rates and tariff rates);
- (c) The two components are polar opposites (negotiated/confidential versus non-negotiated/published);
- (d) Forwarder compensation on service contracts is covered instead by NYK’s Service Contract Essential Terms Tariff;
- (d) Service contracts and tariffs are not required to—and do not—reference each other; and
- (e) A forwarder compensation tariff must “specifically [provide] for” the “level of compensation,”

the only reasonable interpretation is that Rule 9’s specific inclusion of one specific category of rates (tariff) is necessarily an exclusion of the only other specific and diametrically opposed category of rates (service contract).

35. DFY’s proposed meaning fails the test that tariffs are not to be read in a way that is unreasonable, strained or unnatural.

- (a) If, as DFY argues, “gross freight” has such a specific, well-known meaning, is it reasonable to suppose that Rule 9’s drafter felt compelled to illustrate that well-known meaning by using one of the only two possible rate types as an example?

- (b) If so, is it also reasonable to suppose that the drafter would choose as the example, the tariff rate that DFY says does not apply, while omitting any mention of the supposedly applicable service contract rates—rates which are not required to be filed in the general tariff, and which no one would expect to find there? See, *Newmont Mines Ltd. v. Hanover Ins. Co.*, 784 F.2d 127, 135, para. 1 (2d Cir.1986) (Interpretation must not be commercially unreasonable or contrary to reasonable expectations).
- (c) Had Rule 9’s drafter meant for “gross freight” to include both tariff and service contract rates, is it not far more reasonable to conclude that he or she would have said so, or else made no specific mention of just the tariff rate? Service contracts and tariffs are such different animals, that to comply with the “specifically provided for” requirement of Reg. 515.42(d), the applicability of a service contract to a tariff, if intended, would have to be expressly stated and not left to the uncertainty of guesswork.
- (d) DFY’s argument that Rule 9 does not explicitly exclude service contract rates gets it backwards. Forwarder compensation tariffs do not operate on a rule of whatever is not excluded is included. The “level of compensation” must be “that specifically provided for” by tariff or the forwarder may not accept it. Reg. 515.42(d). Service contract rates are not specifically provided for in Rule 9.

36. A carrier’s general tariff is not required to reference service contracts or service contract rates, and in fact none do. That being the case, why is it at all reasonable to

imagine that reference to “gross freight” in a general tariff would include anything but tariff rates?

37. Rule 9 continues:

... **tariff rate** and Heavy Lift and Extra Length Charges, **if applicable** ...

38. DFY argues that “if applicable” modifies “tariff rate” because there is no comma after “tariff rate,” and there was no tariff rate for new assembled motor vehicles.

Absence of a comma after “tariff rate”

39. Going back to the Nineteenth Century, our courts have disfavored making the meaning of a document’s wording dependent on its punctuation. Punctuation is always subordinate to text and is not allowed to create ambiguity or undermine what it otherwise clear. For example:

But it is said that in the policy the two members of this clause are divided by a comma only, and stress is laid upon this fact. But in a contract the words, and not the punctuation, are the controlling guide in its construction. Punctuation is no part of the English language. The supreme court says that it “is a most fallible guide by which to interpret a writing.” *The Century Dictionary tells us, what is common knowledge, that “there is still much uncertainty and arbitrariness in punctuation.”* It is always subordinate to the text, and is never allowed to control its meaning.

Holmes v. Phenix Ins. Co. of Brooklyn, N.Y., 98 F. 240, 241–42 (8th Cir. 1899)

(Emphasis added) (Citation omitted); see also, *Marathon Oil Co. v. Kleppe*, 556 F.2d 982, 985 (10th Cir. 1977); and *Clayman v. Goodman Properties, Inc.*, 518 F.2d 1026, 1031 (D.C. Cir. 1973).

Absence of Tariff Rates

40. It is true that Tariff NYKS156 has no tariff rates for new assembled motor vehicles.

However, that fact is irrelevant.

- (a) The Tariff (and Rule 9) covers more commodities than just new assembled motor vehicles, and those commodities have tariff rates. As required by law, NYK has the tariff rate history stored online and that history can be provided to the Commission on request. So Rule 9's reference to "tariff rate" is not superfluous or surplusage.
- (b) Unlike contracts which—once signed—are final, tariffs can be changed unilaterally by the carrier in accordance with Part 520. If, for example, NYK were tendered a shipment of new assembled motor vehicles that was not covered by a service contract, a new tariff rate could be added.
- (c) If forwarder compensation must be "specifically provided for" in the carrier's tariff [Reg. 515.42(d)], then the absence of a tariff rates for a particular commodity has to mean that no compensation is payable.

"If applicable"

41. The words, "if applicable" do not appear before or immediately after "tariff rate."

Rather, they are placed in the middle of a recitation of the applicable and inapplicable tariff charges. The only reasonable and natural meaning is that "if applicable" refers only to the charges and not the tariff rate. Not every shipment will incur the specified tariff Charges, but every tariff shipment will incur a tariff rate.

42. The meaning of a tariff is not what a lawyer can tease out of it by word play, regardless of context. Rather, in a commercial document, it is the meaning that would be given by an objective and reasonably intelligent person cognizant of the customs, practices, usages and terminology as generally understood in the trade or business. See, e.g., *Revson v. Cinque & Cinque, P.C.*, 221 F.3d 59, 66 (2d Cir. 2000); see also, *Cummins Eng. Co v. U.S.L.*, 19 F.M.C. 387, 389 (1976).
43. The prior freight forwarder, Schenkers, certainly qualifies as such a person. It did not claim such compensation. *Initial Decision*, p. 27 (2d full para.).
44. Moreover, a strict construction of a tariff against a carrier is not justified where, as here, such a construction ignores a permissible and reasonable construction which conforms to the intentions of the framers of the tariff, avoids possible violations of the law, and accords with the practical application given by shippers and carriers alike. *TADMS, Inc. v. Consol. Freightways*, 619 F.Supp. 385, 392 (C.D. Cal. 1985).

**The meaning of Rule 9 is
determined only by its wording**

45. DFY argues that Rule 9 applies to the Ford service contract moves because NYK thought it did, and because NYK tried and failed to extract a waiver of Rule 9 compensation from DFY. Things a carrier may say or do after publication—are ineffective to change an unambiguous tariff rule. Otherwise no one could ever be sure precisely what the rule means. Specifically:

- (a) A tariff required by regulatory law is more than a consensual contract. It has the force of law with the analogous dignity of a statute. *State of Israel v. Metro Dade County, Fla.*, 431 F.2d 925, 928 (5th Cir. 1970).
- (b) Being more than a contract, a tariff exclusively controls the rights and liabilities of the parties as a matter of law. *MCI Telecom Corp. v. Best Tel. Co.*, 898 F.Supp. 868, 872 (S.D.Fla. 1994) (Citing cases).
- (c) The unambiguous, express language of a tariff cannot be avoided by relying on ordinary principles of equity or contract law. See, e.g.:
- *State of Israel*, supra, 431 F.2d at 428 (Morality, equity have no part in tariff application);
 - *Gilbert Imported Hardwoods, Inc. v. 245 Pkgs.*, 508 F.2d 1116, 1120 (5th Cir. 1975) (Tariff not ordinary contract; binds carrier and shipper with force of law; custom and usage cannot be used to interpret tariff);
 - *Capitol Transp., Inc. v. U.S.*, 612 F.2d 1312, 1324-25 (1st Cir. 1979) (Refusing to find that carrier conduct waived lien where waiver not provided for in applicable tariff rule).
46. The fact that NYK's service contract defense was raised in an amended pleading is immaterial. The purpose of summary judgment is to go beyond the pleadings and evaluate the evidence. Nothing in the documentary or testimonial evidence on the motions suggests that NYK's defense is in any way contrived. See, *Tak Consulting Engrs. V. Bustani*, 1998 WL 940845 at *7-8 (FMC 10/22/98) (Pleadings in administrative proceedings are easily amendable and are not considered to be critically important).

**NYK's subsequent amendment
of Rule 9 is irrelevant**

47. DFY argues that Rule 9 must have included service contract rates, otherwise why would NYK have later amended it? Once again, we think DFY gets it backwards.
48. In matters of contract interpretation, extrinsic evidence can never be used to create uncertainty, only to resolve uncertainty. Courts look to extrinsic evidence only after it has been determined that contract language is ambiguous. *Consol. Gas Transmission Corp. v. F.E.R.C.*, 771 F.2d 1536, 1544 (D.C. Cir. 1985).
49. So, in evaluating whether Rule 9 might be ambiguous, its subsequent amendment is irrelevant.

POINT 2

**INCORPORATING RULE 9 IN THE BILLS OF LADING USED WITH THE SERVICE
CONTRACT DOES NOT AFFECT THE MEANING OR APPLICATION OF THE RULE**

50. DFY's argument that Tariff NYKS156 applies because it is contractually incorporated through the Bill of Lading terms and the Power of Attorney misses the point.

DFY uses the wrong test

51. The test under Rule 9 is not whether a tariff "applies," but whether the gross freight is the tariff rate. Contractually incorporating of tariff provisions into a service contract does not change a negotiated service contract freight rate into a non-negotiated tariff freight rate. See, *Global Link Logistics, Inc. v. Hapag-Lloyd AG*, 2014 WL 5316345 (04/17/14) (Commission regulations permit a service contract to cross

reference and incorporate terms set forth in the carrier's general tariff.); see also, 46 C.F.R. 530.8(c)(2).

52. In any event, the rights as unambiguously defined by a tariff cannot be varied or enlarged by any contract of the carrier. *Keogh v. Chicago & N.W. R. Co.*, 260 U.S. 156, 163 (1922).

DFY did not and cannot sue in contract

53. DFY did not sue in contract, it sued on the Shipping Act, the Commission regulations, and NYK's tariffs. See, *Initial Decision*, p. 3. The Commission has jurisdiction to hear a case based on a violation of OSRA, but not one based on breach of a private contract. See, 46 U.S.C. 41301(a); see also, 46 U.S.C. 40502(f) (Exclusive remedy for breach of service contract is an action in an appropriate court).
54. Although tariffs required by law have the force of law [e.g., *In re World Imports Ltd.*, 820 F.3d 576, 585 (3d Cir. 2016)], when a law is incorporated by reference into a document to which it does not apply by its terms, it becomes merely another term of the contract. E.g., *Pannell v. U.S.L.*, 263 F.2d 497, 498 (2d Cir.) cert. den. 359 U.S. 1013 (1959).

DFY does not have the contract rights it claims

55. Assuming without admitting that DFY could sue before the Commission in contract, the Bill of Lading and Power of Attorney do not give DFY the rights it claims.

56. The Bill Of Lading: A bill of lading is a contract of carriage between shipper and carrier. See, *Greenpack of P.R., Inc. v. A.P.L.*, 684 F.3d 20, 26 (1st Cir. 2012).

The forwarder is not a party. See, 46 C.F.R. 515.42(a), (h)(2), and 46 U.S.C. 40904(c).

Nothing in NYK's Bill of Lading terms grants freight forwarders intended third party beneficiary status.

57. The Power of Attorney: Although the Power of Attorney called for NYK's sample Tariff Bill of Lading terms to be incorporated into the Service Contract bills of lading; that right was not for the benefit of DFY. Cf., *Kolb v. ACRA Control, Ltd.*, 21 F.Supp.3d 515, 533 (D. Md. 2014), aff'd, 632 F. App'x 87 (4th Cir. 2015) (Contracting party may unilaterally waive provision for its sole benefit.) Nothing in the Power of Attorney (which dealt with remote printing of NYK bills of lading) suggests any intent to deal with freight forwarder compensation or confer any right to it.

POINT 3

JUDGE WIRTH USED THE CORRECT SUMMARY JUDGMENT STANDARD AND DID NOT ABUSE HER DISCRETION IN DETERMINING THAT DFY'S CASE, IF IT SURVIVES, IS BEST DEVELOPED AT TRIAL.

58. The 2010 amendment to F.R.Civ.P. 56(a) broke no new ground. It simply restored the Rule to what it was before 2007. Then, as now, the Rule spoke about when summary judgment "shall" be rendered rather than "should" be rendered. See:

- F.R.Civ.P. 56, Advisory Committee Note (2007); and
- F.R.Civ.P. 56(a), Advisory Committee Note (2010).

59. The pre-2007 authorities cited by Judge Wirth [*Initial Decision*, p. 5] were decided under the Rule saying “shall” rather than “should.”
60. Today, the federal courts still have discretion to deny summary judgment, even if technically proper, to permit the case to be fully developed at trial. The discretion exists as a matter of sound judicial policy. See, e.g.: *LG Display Co. v. Obayashi Seikou Co.*, 292 F.R.D. 1, 2 (D.D.C. 2013), aff’d, 615 F. App’x 954 (Fed. Cir. 2015). Judge Wirth’s discretion mirrors that of the federal judges. See also, *EuroUSA Shipping, Inc.*, pp. 9, 10 (Docket No. 06-06) (Served Dec. 18, 2008) (summary judgment should rarely be granted in complex cases requiring more fully developed records).
61. Judge Wirth exercised her discretion after reviewing the complete record which included multiple witnesses and over 1,000 pages of documentary exhibits.
62. Moreover, DFY did not show entitlement to summary judgment technically or otherwise. Judge Wirth denied its motion as “premature” due to unresolved fact intensive questions. See, *Initial Decision*, pp. 14-15. DFY’s prolix Exceptions prove her point.

Cargo shipped under Ford Service Contracts

63. DFY criticizes Judge Wirth for saying that one issue for trial is whether the shipments contained new assembled motor vehicles. *Initial Decision*, p. 15. However, this is an issue raised by DFY. See, *DFY’s Exceptions*, p. 38; see also, *DFY’s Motion for Summary Judgment*, pp. 19, 21 (Filed Jan. 10, 2017).

64. DFY's point was that perhaps the cargo actually shipped under the Ford Service Contracts was not really exempt cargo (newly assembled motor vehicles) and therefore the Service Contracts were not valid for lack of filing. NYK believes this argument fails for two reasons.
- (a) The Record contains an affidavit from NYK's witness, John Grbic, that the Ford cargo was indeed exempt new assembled motor vehicles. *See, NYK' Opp. Exhibit T at RX-273-274.*
- (b) DFY has no opposing evidence, just speculation. Under its Contract with Ford, DFY was responsible for filing the customs export declarations. *DFY's EXHIBIT L, at DFY 5172-73.* So, if the Ford cargo were other than what it should have been, DFY is in a position to show it.

POINT 4

THERE IS NO GENUINE DISPUTE THAT DFY CANNOT SHOW COMPLIANCE WITH REG. 515.42(c). EVERYTHING DONE TO ARRANGE FOR AND CONFIRM SPACE ON NYK VESSELS WAS DONE BY ANOTHER FORD SUBCONTRACTOR. NEITHER DID DFY PREPARE OR PROCESS THE BILLS OF LADING. ALL IT DID WAS TO PERFORM CERTAIN CLERICAL SERVICES.

Overview of DFY's lack of compliance with Reg. 515.42(c)

65. DFY's Exceptions paint a picture of the facts that is not supported by the record.
66. Assuming without admitting that Rule 9 applies to service contract rates, DFY must then show that the absence of any material issue of fact as to its compliance with Reg. 515.42(c) if it is to summarily prevail. That regulation provides that forwarder compensation is payable only if the forwarder has performed the following services:

- (1) Engaged, booked, secured, reserved, or contracted directly with the carrier or its agent for space aboard a vessel or confirmed the availability of that space;

and

- (2) Prepared and processed the ocean bill of lading, dock receipt, or other similar document with respect to the shipment.

67. The word “and” separating subsections (c)(1) and (c)(2) means that the forwarder must have performed:

(a) One of the services described in subsection (c)(1); and

(b) Both of the services described in subsection (c)(2)

DFY performed none of them.

68. With respect to (c)(1), the deposition testimony (summarized below) was that:

(a) It was an independent contractor, Wallenius Wilhelmsen Logistics (acting as Ford’s hired traffic coordinator), that arranged for, [2] and confirmed the availability of space on NYK vessels. *Parcha*, RX-139:15 – 140:18 • 141:5 – 142:2 • 148:13-20 • 151:4-16 • *Tracy*, RX-081:10 – 082:14 • 098:8 – 099:15 • *Emmons*, RX-100:13 – 102:15 • 105:7-22 • 122:9 – 123:20 • 123.22 – 124:11..

(b) The EDI 300 and 304 messages DFY relies on did not arrange for or confirm anything. The 300 messages provided the required Vehicle Identification

2 For the sake of brevity, we will use “arrange” as a general term to encompass Reg. 515.42(c)(1)’s reference to engage, book, secure, reserve, and contract.

Numbers (“VIN’s”). [3] The 304 messages provided certain shipping instructions. These were services DFY rendered for its shipper/customer, Ford Motor Co., not NYK. *Southard*, RX-255; 256 • *Ferguson*, RX-159:14 – 160:13 • 160:19 – 161:3 • 162:8 – 163:13; 108C:7 • 108:8 • *DFY’s Exh. “L,”* p. DFY 5168 *et. seq.*

- (c) Ford would not manufacture the vehicles until after space on the NYK vessel had been arranged by and confirmed by NYK to Wallenius. The EDI 300 and 304 messages could not have been generated until after manufacture. In other words: first, vessel space was arranged by and confirmed to Wallenius, then the motor vehicles were manufactured by Ford, then DFY sent the EDI 300 and 304 messages to NYK. *Emmons*, RX-105:7-22 • 122:9 – 123:17 • 123:22 – 124:11 • *Parcha*, RX 141:5-10.

69. There is an absence of evidence that DFY was the one that brought NYK and Ford together, or that it was DFY that selected NYK to be the carrier, or that DFY acted as a liaison between Wallenius and NYK.
70. Based on the foregoing, DFY did not arrange for or confirm vessel space within the meaning of Reg. 515.42(c)(1). See, *Am. Union Transp., Inc. v. River Plate & Brazil Conferences* (No. 758) 5 F.M.B. 216 (1957)(Forwarder did not secure cargo for the ship where the transportation was sold directly by carrier to shipper and shipper reserved right to select the individual carrier).

3 Customs regulations require that all motor vehicles to be exported have a VIN. 19 C.F.R. 192.2(a). It is the exporter/shipper’s obligation to provide it to CBP. *Id.*

71. With respect to (c)(2), the record (summarized below) is that the bills of lading were prepared by NYK, not DFY. All DFY did was to:

(a) Transmit to NYK some of the details NYK needed to create the bills of lading.

DFY's Exh. "L," p. DFY 5171 • Tracy, RX-088:13-25 • 089:6-15 • Emmons, RX-109:2-9 • Ferguson, RX-162:8-14 • NYK's EXHIBIT "Q," paras. 2, 3, 45, RX-251-254 • Southard, Exh. "R," RX-255-56.

(b) Then review the bills received back from NYK for mistakes. *DFY's Exh. "L," p. DFY 5174, B.1.C • 5181 (Tenth Bullet Point) • RX-110:14-23.*

(c) Then print them using Ford software and printers. *NYK's Exh. "Q," RX-251-254, para. 3.*

Giving "process" its commonly accepted meaning, DFY did nothing to carry out any of the Bill's terms or conditions.

**Deposition Testimony re DFY's
Non-Compliance with Section (c)(1)**

72. The deposition testimony is clear and consistent that DFY did not arrange for or confirm vessel space as required by (c)(1).

**Testimony of Sharon Parcha
(For Non-Party, Wallenius Wilhelmsen Logistics)**

73. Parcha testified that:

(a) Because Ford does not have its own traffic department, that function is performed by Wallenius. *RX-139:15 – 140:18.*

- (b) She has worked for Wallenius as Traffic Coordinator on Ford shipments since 2005. Her job is to coordinate the number of Ford vehicles to go on each vessel.

RX-139:15 – 140:18.

- (c) “Forecasting” is the procedure by which Wallenius secures and confirms space on NYK vessels. *RX-141:5 - 142:2 • 148:13-20 • 151:4- 16.*

(1) Ford gives Wallenius a long term vessel schedule.

(2) Wallenius in turn sends NYK written requests for vessel space onboard specific NYK vessels. The requests are made 4 to 6 weeks before the vessel sailing date.

(3) NYK replies to Wallenius and confirms that the requested vessel space is available.

(4) Wallenius provides NYK with the number, type, and model of each Ford vehicle to be shipped, the ports of loading and discharge, and the amount of space required.

(5) If before sailing the Ford space requirements change, Wallenius contacts NYK to confirm the new space allocation.

RX-141:5 – 148:20.

- (d) The purpose of Forecasting is to let Ford know how many vehicle spaces have been secured and confirmed on each NYK vessel. *RX-148:13-20.*

**Testimony of Robert Tracy
(For Complainant, DFY)**

74. Tracy testified that:

- (a) Space for Ford vehicles was reserved, secured, and allocated one to two months before shipment which was well before any involvement by DFY. *RX-079:7-18 • 079:20 – 080:10 • 089:12-15 • 093:3-095:2.*
- (b) The Forecasts took into account the number of vehicles being produced at each plant, when they needed to be at the load port, the number of vehicles for which Ford needed vessel space, and the identity of each NYK vessel for which secured space was being reserved in advance. *RX-021 • 076:24 – 080:10.*
- (c) The arranging and confirmation of vessel space through Forecasting took place before any EDI 300 or 304 messages were sent by DFY. *RX-093:3 – 094:7.*
- (d) The Forecasting procedure had to be complete (i.e., the vessel space reserved and confirmed) before DFY could do anything with respect to the shipments. *RX-096:14 – 097:2.*
- (e) When NYK confirmed the availability of vessel space, it did so to Wallenius (that was acting on behalf of Ford), not to DFY. *RX-081:10 – 082:14 • 098:8 – 099:15.*
- (f) He was aware that Ford had a contract with NYK as to specific port pairs and Ford had to use NYK because of that contract. *RX-083:17 – 084:11.*

**Testimony of Steve Emmons
(For Non-Party, Ford Motor Co.)**

75. Emmons' testimony mirrored that of DFY's Robert Tracy, *See, para. X(a, b, e) above.*

He also testified that:

- (a) Forecasting takes places prior to manufacture of the vehicles that will go onboard NYK vessels; and the manufacture will not take place until NYK confirms to Wallenius (Parcha) that the requested space is reserved. Ford would not manufacture vehicles without confirmed space. *RX-100:13 – 102:15 • 105:7-22 • 122:9 – 123:20 • 123:22 – 124:11.*
- (b) There was a Contract between Ford and DFY. Its purpose was to outline what Ford expected of DFY. Under that Contract, the sending of the 300, 304, 310, and 315 messages were DFY's duties for which Ford compensated it. *RX-108C:7 – 109:9.*

76. Contrary to DFY's contention, Emmons did not say that DFY satisfied Reg. 515.42(c).

- (a) He said he was referring to the services DFY performed for Ford under its Contract with Ford, not that DFY performed services for NYK. *RX-136:10 – 137:8 • 138:16 – 138A:2.*
- (b) He also said he did not know what services a forwarder has to perform to earn carrier compensation. *RX-136:10-16.*

**Testimony of Linda Ferguson
(For Non-Party, Ford Motor Co.)**

77. Ferguson's testimony mirrored that of DFY's Robert Tracy, *See, para. X(a, b, e) above.*

She also testified that:

- (a) She is the Documents Manager for Ford. *DFY's Exh. "G," p. 023:2 – 024:12.*
- (b) Reserving and confirming space on NYK vessels is done via Forecasting. Once NYK confirms that the vessel space is available, then Ford has space on the vessel for that many cars when the vessel comes to port. *RX-159:14 - 161:3 • 161:22 - 163:13 • 164:13 - 165: 23 • 170:5 - 171:11.*
- (c) The forecasting is done with NYK by Wallenius acting on behalf of Ford. *RX-159:14 – 21 • 160:19 – 161:3 • 161:22 – 162:4 • 162:25 – 163:13.*
- (d) She is fully familiar with EDI documents including 300's, 304's, and 310's. *DFY's Exh. "G," p. 23:13-17.*
- (e) The EDI 300 messages do not reserve or confirm NYK vessel space. All they do is to confirm the VINs for the Ford vehicles going onboard the NYK vessels. *RX-159:14 – 160:12 • 162:8 to 163:13 • 164:13-21 • 165:10-23 • 166:24 – 167:14 • 169:19-25.*
- (f) DFY is acting on behalf of Ford when it provides the VINS since it is the obligation of the shipper (Ford) to provide that information. *See fn. 3 above. RX-159:22 – 160:12 • 169:3-25; see also, Emmons, RX-108B:9 – 108C:10 • 108C:23-25 • 109:2-9 • 110:14-23.*

- (g) The EDI 304 messages do not confirm space, they just provide shipping instructions to NYK. *RX-162:8 – 163:13.*

**Testimony of Tracy Southard
(For Respondent, NYK)**

78. Southard testified that:

- (a) She is NYK's Ro/Ro documentation manager with 8 years' experience at that job. *NYK's EXHIBIT }R," RX-255, para. 1-3.*

- (b) Neither the EDI 300 nor 304 messages are used to reserve or secure space on NYK vessels.

- (1) The 300 only identifies the VIN's for the vehicles to be loaded on NYK vessels. The reservation and securing of vehicle space is done via negotiations between NYK's trade group and Ford and Ford's agent, Wallenius, weeks and months before shipment.

- (2) The 304 message contains only standard information that every shipper must provide to the ocean carrier so the carrier can create bills of lading in its system.

NYK's EXHIBIT "R," RX-255-56, paras. 4-6.

**Deposition Testimony re DFY's
Non-Compliance with Section (c)(2)**

- 79.** There was also no dispute among any of the witnesses that DFY did not comply with (c)(2), either. The deposition testimony was as follows:

- (a) NYK did not need DFY services to print NYK bills of lading for Ford. *Emmons, RX-110:24 - 113:17*. Allowing DFY to print NYK's bills of lading remotely at Ford's Allen Park offices was done at the request of and for the convenience of Ford. *RX-090:14 - 092:10*.
- (b) The agreement under which the remote printing took place was the Power of Attorney. It was part of DFY's duties under its Contract with Ford to enter into that Power of Attorney and Ford compensated DFY for doing so. *RX-110:24 - 113:17*.
- (c) NYK did not ask DFY to print its bills of lading remotely. The only reason DFY did so was at the request of Ford. *Emmons, RX-108C:23-25 • 110:24 - 113:17 • Tracy RX- 090:14 - RX-092:10*.
- (d) While DFY may have printed the NYK bills of lading. It did not create them. The Power of Attorney provided that the electronic bills of lading were to be created by NYK or NYK's authorized agent. *NYK's EXHIBIT "Q," RX-252, para. 3*.
- (e) All the Power of Attorney authorized DFY to do was print the bills. DFY could not alter or add to the bills created by NYK without NYK's permission. *NYK's EXHIBIT "Q," RX-252, para. 3*.
- (f) The Power of Attorney provides that DFY is acting on behalf of its shipper/customer, Ford. *NYK's EXHIBIT "Q," RX-251. Para. 2*.

80. None of the foregoing can qualify as 'preparing' the bills of lading.

- (a) The carrier's duty to prepare bills of lading arises only after the shipper or his supplies the carrier with a complete description of the goods to be shipped. *Am. Union*, 257 F.2d at 612. So sending the EDI 300 and 304 messages did not count as preparing the bills of lading. Every shipper has to send complete information to the carrier before the carrier can prepare the bills.
- (b) Checking for bill of lading errors also has nothing to do with their preparation. It is every shipper's obligation to do so. See, *Digital Equip. Corp. v. M.V. EVER LIVING*, 1995 WL 693176 at *4 (S.D.N.Y.) (Ends of consistency, predictability, and precision in filling out important documents require that shipper object when bill of lading has errors). So when DFY reviewed the bills for mistakes, it did so for Ford (whose obligation it was), not NYK. Moreover, any corrections would have been made by NYK, not DFY.
- (c) It was DFY's obligation under the GLP Contract with Ford (*DFY's Exh. "L"*) to check for errors on the NYK bills of lading and to verify that the freight rate was correct; [4] and DFY was paid to perform those duties by Ford. *DFY's Exh. "L," pp. DFY 5174.B.1(c) • 5177c.1(a) • 5181 (10th bullet point) • RX-108C:7-25 • RX-110:14-23.*
- (d) Printing a bill of lading cannot be part of its preparation since it must be 100% prepared before it is printed.

⁴ The bill of lading errors which DFY's Schwark claims she was finding were limited to freight errors. *DFY's Exh. "J," pp. 20-21* which was obviously a service for Ford.

- (e) Printing the bills was a contractual obligation assumed by Ford for its own benefit under the Power of Attorney. So when DFY pressed the PRINT button, it did so, again, for the benefit of Ford, not NYK.
- 81.** The foregoing is a far cry from the pre-service contract days when the forwarder prepared the bills and all the carrier had to do was sign it. See, *U.S. v. Am. Union Transp., Inc.*, 327 U.S. 437, 442 (1946) (Exporter consigns merchandise to forwarder who makes all arrangements for dispatch to foreign port).
- 82.** None of the foregoing can qualify as ‘processing’ the bills of lading, either.
- (a) “Process” suggests a series of functions or actions to generate or produce a certain result. See, *Black’s law Dictionary*, p. 1205 (6th ed. 1991).
- (b) The purely secretarial acts of reviewing and printing do not equate with carrying out the bill of lading terms or putting them into effect.
- 83.** Neither the EDI transmittals, nor the review, nor the printing added any value for NYK as required by Reg. 515.42(e). It is the value of services to the carrier [see, Reg. 515.42(c)] that triggers the right to compensation, not the series of services provided for the shipper [see, Reg. 515.2(h)]. *L. Braverman & Co. v. Lykes Bros.*, 21 F.M.C. 372, 376-77 (ALJ 1978).
- 84.** The test for determining whether a forwarder function is rendered for the shipper or for the carrier is this: if the forwarder does not perform the function, would its performance fall to the shipper or the carrier? *Am. Union*, 5 F.M.B. at 223. In this case, all of DFY’s services would have fallen to Ford had DFY not performed them.

- (a) Customs regulations require the VIN's (EDI 300) to be provided by the exporter not the carrier. *See, fn.2 above.*
 - (b) Shipper's instructions (EDI 304) by definition can only come from the shipper.
 - (c) Reviewing the bill for errors is a shipper's obligation. *See, para. 80(b), above.*
 - (d) Printing the NYK bills of lading at the Ford premises was an obligation contractually undertaken by Ford pursuant to its Power of Attorney with NYK.
85. Any functions performed by DFY for or on behalf of its shipper/customer, Ford, benefitted Ford not NYK and are not compensable by NYK.

POINT 5

DFY MISREPRESENTS THE TESTIMONY OF NYK'S WITNESS, JOHN GRBIC AND ITS ATTEMPT TO IMPEACH WITNESS TESTIMONY OR HAVE IT DISREGARDED IS CONTRARY TO THE PURPOSE OF SUMMARY JUDGMENT WHICH IS TO IDENTIFY FACT ISSUES, NOT DECIDE THEM

86. DFY uses its Exceptions to attempt to impeach or discredit witnesses. We believe that is improper. Summary judgment exists, not to weigh the evidence and determine the truth, but to determine whether there is a genuine issue for trial. *Anderson v. Liberty Lobby, Inc.*, 477 U.S. 242, 249 (1986).
87. DFY spends four pages of its Exceptions attempting to deconstruct the testimony of John Grbic, Senior Trade Director of NYK Ro/Ro division, and substantially misrepresents his testimony.

88. Complicating DFY's argument is the fact that 17 of the 35 citations to his deposition testimony were not in the record before Judge Wirth. *See, p.1, para. 1(c) above.*

89. Grbic's testimony was as follows:

(a) After this present case started, Mr. Grbic evaluated what services other freight forwarders were performing for NYK. *RX-172:13 - 173:13*. He discovered that they were doing very little for NYK on automotive service contracts. *RX-175:3 to RX 176:23*. That included DFY which

(1) Was not reserving or securing space on NYK vessels for any port pairs;

(2) Was not part of the decision making process by Ford to select NYK;

(3) Was not preparing the bills of lading; and

(4) Did nothing other than to print the bills of lading remotely pursuant to the Power of Attorney.

RX-179:10 – 180:9.

(b) NYK was perfectly able to print and issue the bills of lading itself. It allowed Ford (using DFY) to print the bills remotely at Ford's facility, but that was done at Ford's request for its own convenience. *Hurley, RX-219:3 – 220:3.*

(c) While Grbic did not know what DFY does for Ford [see, Reg. 515.2(h)], he certainly knew what DFY was not doing for NYK. *See, Reg. 515,42(c).*

- (1) With automotive shippers, the space coordination, the securing of space, and the booking is normally done directly between NYK and the shipper.
RX-181:6 – 182:22.
- (2) With Ford, it was Ford or Wallenius staff acting on behalf of Ford that secured and confirmed space on specific vessels with specific voyage destination. The function was not performed by DFY. Wallenius confirms the cargo Ford wants loaded and NYK's space confirmation is to Wallenius. RX 197:22 to RX 198:11.
- (3) NYK was not paying DFY because "they are not doing all the stuff" (i.e. the services set forth in 515.42(c)(1)). RX-197:7-12.
- (d) Rule 9 is not in any way connected to the Ford service contract.
 - (1) In Rule 9, "gross freight" means the tariff rates plus applicable charges;
 - (2) None of the Ford shipments were all service contract moves subject to service contract rates with no tariff rates or charges applying;
 - (3) Nothing in Tariff NYKS156 provides for forwarder compensation on service contract rates.

RX-209:3 – 210:2.

POINT 6

DFY KNEW OR SHOULD HAVE KNOWN OF THE EXISTENCE OF THE FORD SERVICE CONTRACT AND WAS NOT MISLED BY NYK INTO THINKING THAT FORWARDER COMPENSATION WOULD BE PAID UNDER RULE 9 AND SIGNED A POWER OF ATTORNEY WITH ITS REQUESTED COMPENSATION PROVISION DELETED

Existence of the Service Contract

90. A summary judgment non-movant is entitled to the benefit of favorable inferences only if reasonable. *Wheeler v. Georgetown Univ. Hosp.*, 812 F.3d 1109, 1113 (D.C. Cir. 2016). DFY's insistence that it did not know the Ford shipments were moving under a service contract is not supported by any evidence, direct or inferential.
- (a) I DFY were correct, there would be a direct statement to that effect by a DFY witness. DFY cites to none.
 - (b) All DFY relies on is the deposition testimony of NYK's Grbic, which does not say what DFY says it does. *See, DFY's Exh. H, pp. 224-225*. When asked if there was any way DFY could have gotten "legitimate access" to the confidential Ford Service Contract, Grbic correctly answered, "That's up to Ford." *Id. at 225:1-6*. Nowhere does DFY expressly deny receiving knowledge from Ford of the existence of the Service Contract.
 - (c) To the contrary, DFY's Robert Tracy testified he was aware that Ford had a contract with NYK as to specific port pairs and Ford had to use NYK because of that contract. *RX-083:17 – 084:11*. So, DFY could not have thought that the Ford shipments were all tariff moves.

- (d) Moreover, any freight forwarder undertaking the kind of long-term, multi-shipment contractual relationship that DFY had with Ford is first going to determine whether the shipments will move by tariff or service contract.
- (e) How could DFY function as forwarder without knowing whether the document governing Ford's shipments was a service contract or a tariff—especially if DFY were as involved and indispensable to the shipments as it claims? Is it reasonable to infer that DFY—a large and experienced freight forwarder—worked on Ford's premises for 18 months on thousands of shipments with never a clue that a service contract existed?
- (f) Moreover, if tariffs give constructive notice to the shipping public, then DFY has to be charged with knowledge that—as its Exceptions point out—there were no tariff rates for Ford's new assembled motor vehicles. That fact would have clearly signaled that a service contract was in place. The status of Ford as a commercial shipper and the volume of its shipments should have signaled it anyway.

**No promise by NYK to pay
in Power of Attorney**

91. The email negotiations clearly confirm that:

- (a) DFY attempted from the very first draft of the Power of Attorney to include compensation language. From the very beginning NYK refused to incorporate that language and advised DFY that it was not going to pay compensation. RX-

229 – 233 (11:36 AM FEB 26) • 234 - 238 (2:54 PM Feb 26) • 239-RX 244 (09:30 AM Feb 27, 2015) • DFY's Exhibit U, page DFY 22093.

- (b) DFY even attempted to have NYK agree to a draft which stated that the Power of Attorney did not address the issue of freight forwarder compensation or brokerage but that language was rejected and never included in the final agreement. *NYK Opp. EXH Q, RX-245-249.*
- (c) The Power of Attorney draft that was eventually signed by both parties was dated April 2, 2015. *NYK's EXHIBIT Q, RX- 251 - 54.* The signed agreement was actually a draft submitted to DFY in the early stages of negotiations on February 27th which had stricken the language requested by DFY in its draft sent the prior day. *NYK's EXHIBIT Q, RX-239 - 244 (para. 6).* In short, DFY agreed to sign the draft proposed by NYK in February 27 which struck all mention of compensation. *RX-234 - 238.*
- (d) Multiple times during the negotiations, and even in the transmittal email enclosing NYK's signature, NYK made it clear that it was not going to pay any compensation. *RX-229 • RX 239 • DFY's Exhibit U page DFY 2209.* DFY cannot claim that it was misled or was surprised that NYK was not going to pay freight forwarder compensation to it.

CONCLUSION

92. For the foregoing reasons, NYK asks that DFY's Exceptions be overruled and that the Commission adopt Judge Wirth's Initial Decision.

Dated: White Plains, NY

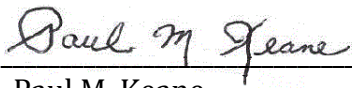
Respectfully submitted,

October 10, 2017

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ADDENDUM

(DFY cites not in Record)

When asked to describe every activity he engaged in to deal with the analysis of freight forwarding activity in the summer of 2015, he first identified all of the freight forwarders. (CX "H" 45:12 – 20). With respect to DFY, he decided that because in the NYK/Ford service contract DFY does not reserve or secure space with NYK on any vessel or voyage or Port-pairs; because DFY did not select NYK as a carrier and that all that DFY does is remotely print Bills of Lading, he didn't think that FFC was warranted⁵ (CX "H" at 53-54). In addition, Grbic/NYK admits that it is not the sequence of contacts – in time - for space that they will pay FFC on. Rather, FFC depends on just what the "process" is and who's performing that function.

NYK/Grbic will pay FFC if "a freight forwarder is in the process of securing space on behalf of the shipper with the carriers", "performing shipping instructions – to the carrier" and "preparing bills of lading." (CX "H" 71:17 – 25/72:1 – 16) In fact, this is the sum and substance of freight forwarding activity, in NYK/Grbic's mind (CX "H" 72:13 – 16). These are all activities that DFY performs. NYK doesn't know that this is so because they do not know what DFY does or does not do.

With regard to bills of lading, bill of lading information is on a 304 – EDI information. (CX "H" 109:2 – 9) the shipping instructions gets turned into a bill of lading. (CX "H" 109:14 – 17) the content of the EDI, or cargo documentation is used to create the bill of lading – that is a 304 transmission. (CX "H" 112:5 – 15). DFY performs this.

NYK/Grbic posits that these shipping instructions in the 304 are received from Ford, but only because they are received from the Ford EDI system. NYK/Grbic does not know one way or the other whether or not D.F. Young sends that information through Ford's EDI system to NYK. (CX "H" 119:1

⁵ Not surprisingly, NYK/Grbic didn't locate any freight forwarder justifying payments from NYK during his investigation. (CX "H" 73:21 – 25/74:1 – 2)

- 18) on the other hand, Ford/Emmons is certain that DFY provides the 304's in order to book, secure and reserve space on the vessel. In fact, NYK/Grbic does not know what DFY does inside Ford's EDI system. (CX "H" 119:19 - 25/120:1 - 10). NYK/Grbic also cannot identify exactly what DFY does with that information in the 304 and NYK/Grbic has no personal knowledge of what DFY does with the 304 message that it sends to NYK (CX "H" 120:11 - 25/121:1 - 23).

The data on the 304 ultimately needs to have onboard dates, rates, port pairs, shipper, consignee, VIN numbers entered into it and returned for the Ford EDI system as a 310. That 310 always needs to be audited. NYK does not do that, somebody else does. (CX "H" 127 - 129). According to Ford and DFY, DFY does that activity. According to NYK/Grbic, that is pretty much preparing and processing the bill of lading (CX "H" 128:2 - 15).

Pages 127-128 not in record

NYK/Grbic calls the auditing "check for errors" (CX"H" 130:1 - 12) but everything in the 304 is essentially contained in the 310. If there is something else, NYK/Grbic is not clear on it. (CX"H" 130:13 - 19) and NYK/Grbic does not know who was using the Ford system to create and send the 304 (CX"H" 131:1 - 24). In fact, he has never seen the booking, securing, reserving or confirming space process for any Ford vehicle shipment. (CX "H" 131:25/132:1 - 5).

NYK/Grbic admit that they have no personal knowledge as to what DFY does in the shipping process, their actual activities or their actual responsibilities with respect to Ford. (CX "H" 132:20 - 25/133:1 - 13 "specifically, no").

NYK/Grbic conducted no visual observations of DFY's actions with regard to the Ford vehicle shipments that would provide him or NYK with a foundation upon which to challenge DFY's claims. Thus, NYK doesn't know what DFY "was or was not doing that would entitle them to freight

forwarding compensation". (CX "H" 134:14 – 25/135:1 – 8) NYK/Grbic never contacted DFY and never had any curiosity or concern as to what DFY's actions might be. (CX "H" 136:7 – 13).

NYK/Grbic knew at the outset of this case that DFY was seeking freight forwarding compensation on the Ford shipments. (CX "H" 141:17 – 22). It was NYK/Grbic's understanding that DFY was not entitled to FFC because the prior freight forwarder did not get paid. (CX "H" 142:3 – 13). Yet, NYK/Grbic agree that they don't know what activities the prior freight forwarder – Schenker – performed on behalf of forwarder NYK and never made any investigation to find out exactly what Schenker was doing either. (CX "H" 152:7 – 14); and NYK/Grbic cannot validate exactly what DFY is doing either. (CX "H" 151:13 – 24). NYK/Grbic agrees that they do not know whether DFY reserved, booked, engaged or secured any space on NYK vessels. (CX "H" 157:1 – 23). Yet, Ford advises that this is exactly what DFY does. Of course, NYK/Grbic never checked with anybody at Ford to find out what DFY was doing for Ford. (CX "H" 158:4 – 9) NYK/Grbic also do not know what DFY is doing in the Ford EDI system. (CX "H" 232:231:23 – 25/232:1 – 9).

NYK/Grbic agrees that sending 304s is freight forwarding activity; process and preparing of the bills of lading is freight forwarding activity. Auditing and processing the 310 message is freight forwarding activity and that inserting missing data into the bill of lading and processing that part of the bill of lading is freight forwarding activity. (CX "H" 217 – 220) Pages 217-219 not in Record

The service contract between NYK and Ford is confidential, not published anywhere and NYK/Grbic agrees that DFY could not have knowledge of, or access to that contract. (CX "H" 225:1 – 8). At best, NYK/Grbic made a mistake on their approach to the evidence in this case. And the only notice ever given to DFY that they would not be entitled to FFC is a February 27, (CX "D" 11) email

from NYK describing the services – which NYK did not know what services and still does not know what services DFY provides – were not freight forwarder services. (CX “H” 268:16 – 23)

- **All Witness Testimony Demonstrates DFY’s Satisfaction Of 46 CFR §515.42(C).**

- **Sharon Parcha .**

Ms. Parcha works for Wallenius Wilhemson as a traffic coordinator. (CX “O” 10:21 – 25).

Parcha receives a final booking log with the VIN information of all vehicles to be shipped on NYK vessels from DFY. (CX “O” 31:25/32:1 – 11). DFY provides this list after DFY books the cargo and sends it through Ford’s EDI system. (CX “O” 32:16 – 20). Parcha provides information directly to D.F. Young as part of her job satisfying her company’s contractual relations with Ford. Her understanding is limited because she doesn’t actually know what the scope of her employer’s contractual role is in this process. (CX “O” 32:21 – 25/33:1 – 12). While Parcha lacks the required foundation to offer opinions as to exactly what role she or her employer Willenius actually performs, she is certain that she gets the booking information from DFY. (CX “O” 36:18 – 20). The rest of the information that she acquires concerning forecasts are from Ford (CX “O” 37:1 – 2). Ms. Parcha does not offer anything to undermine DFY’s claim of booking, securing, reserving and ultimately confirming space aboard NYK vessels.

- **Linda Ferguson**

Linda Ferguson was a documentation manager at Wallenius. She provides DFY with all the information that DFY would need to ship Ford vehicles on NYK vessels. (CX “G” 17:9 – 25/18:1 – 5). Ferguson makes sure the DFY has everything they need to prepare documentation and book the vehicles on board NYK vessels. (CX “G” 23:2 – 15). In essence, Wallenius works in support of DFY and performs their forecasting for DFY, not Ford. (CX “G” 33:15 – 23). DFY prepares and processes the

300's, 304's and 310's to NYK that reserves the space, books the actual vehicles into that space (not conceptual vehicles, but real ones). (CX "G" 42:9 – 25/43:1 – 2). DFY can even make a booking before they get a forecast. (CX "G" 44:15 – 20). DFY creates each load for each vessel for voyage in the Ford's system and that data is then generated by DFY to NYK. (CX "G" 50:2 – 6). DFY updates the VIN's, creates the voyage, assign the VIN to a vessel and then DFY book the vehicle onto the vessel. (CX "G" 50:7 – 16). The provision of the VIN's in the booking then confirms the space. (CX "G" 70). Without DFY's efforts, Fords vehicles cannot travel on NYK vessels. (CX "G" 63:1 – 25/64:1 – 8).

When space is short on an NYK vessel; or if there is too much, DFY fills it or moves overflow to other NYK vessels. (CX "G" 66/67).

DFY also creates the bookings (300's and 304's - shipping instructions) that then permits DFY to process the bills of lading so that the freight on the bills of lading can be paid to NYK. (CX "G" 73/74). If DFY did not provide these services, NYK would have to do it themselves. (CX "G" 74 – 78). Without DFY's booking actions, the space described by NYK is never used – and NYK would never be paid for any freight.

Pages 76-78 not in the Record.

- **Darlene Schwark**

Ms. Schwark audits, processes and prepares the bill of lading with information provided from NYK. After she corrects the freight rate – and every freight rate from NYK is incorrect – she arranges payment for NYK. (CX "J" 20 – 21 & 15 – 16).

- **Stacy Southards Declaration Is Irrelevant, Contradicts NYK's Corporate Admissions And Lacks Foundation. It Does Not Create A Genuine Issue Of Material Fact.**

NYK provides a Declaration from a Stacy Southard that must be disregarded as it contradicts the testimony of NYK's designee and lacks foundation.